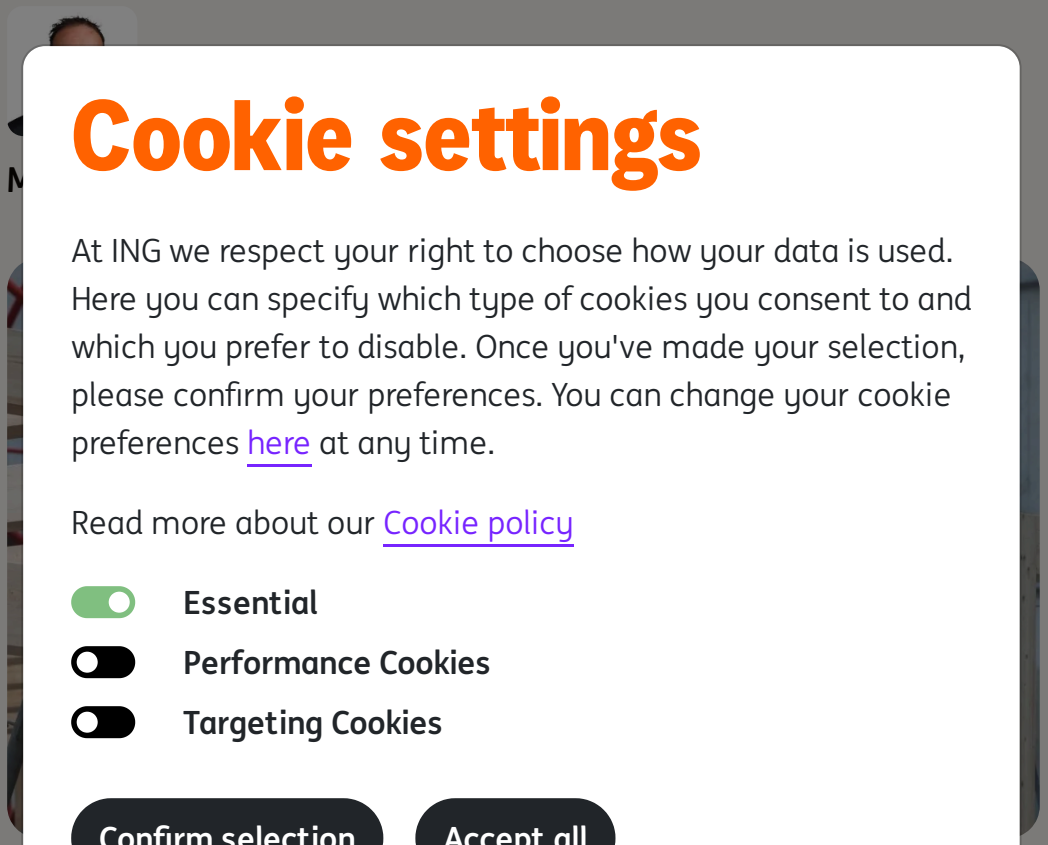
Europe's construction volumes will keep growing but remain subdued. Infrastructure investment and Germany's gradual rebound are drivers, while higher financing costs and geopolitical risks cap momentum. Housing permits have stabilised, signalling that a stronger residential recovery will have to wait



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Low growth returns in 2026

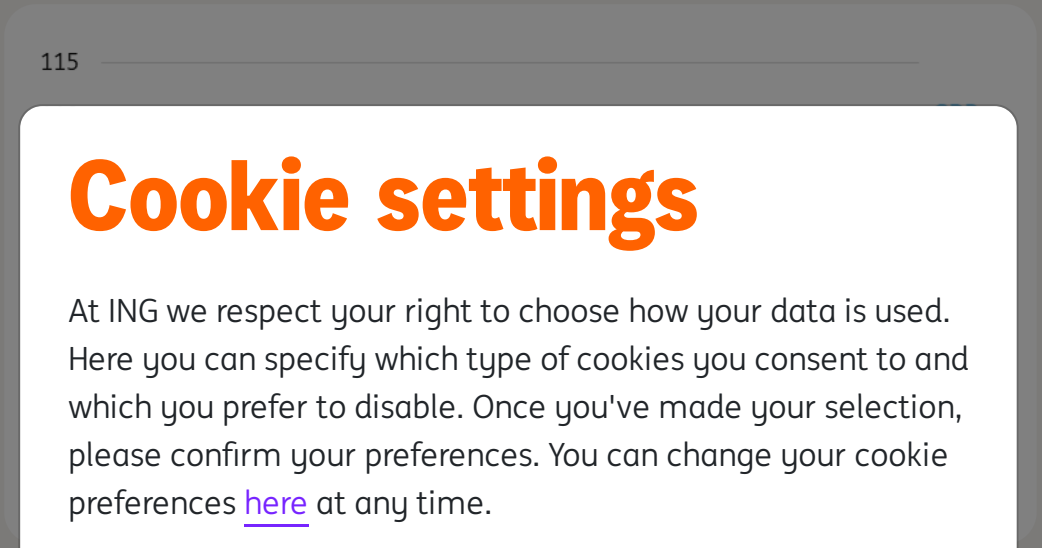
We expect EU construction output to grow by a marginal 0.5% in 2026, following a 1.8% decline in 2024 and 2.3% growth in 2025. More broadly, EU GDP has outpaced construction output in recent years, showing that the construction sector has lagged the broader economy.

The positive signals seen in early 2025 have since weakened. By September, the EU construction confidence indicator had stopped improving and had fallen below its level a year earlier. Nevertheless,

the EU economy has remained surprisingly resilient despite higher energy prices, rising interest rates and greater geopolitical uncertainty. Increased defence and infrastructure spending, together with Germany's cyclical rebound, is partly offsetting the headwinds.

EU construction lags GDP growth

Volumes, Index 2018 Q2 = 100



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and sustainability projects, while infrastructure investment, supported by EU funds and spending on energy and digital networks, has provided an additional offset.

EU construction forecast

Volume output construction sector, % YoY

	2024	2025	2026*	2027*
Austria	-2.0%	-0.1%	0.0%	1.0%
Belgium	-1.2%	0.2%	-0.5%	0.5%
France	-3.9%	-3.5%	-2.5%	-1.5%
Germany	-3.2%	-1.8%	1.0%	2.0%
Netherlands	-1.1%	1.9%	0.0%	1.0%
Poland	-7.7%	0.0%	0.0%	2.0%
Spain	2.6%	4.0%	3.0%	2.0%
European Union	**-1.8%**	**2.3%**	**0.5%**	**1.0%**

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contraction in 2026.

Spain's construction sector is still recovering. After losing more than 25% of its output between 2019 and 2022, the market began to rebound in 2023. We forecast growth of 3% in 2026. Building permits have risen sharply in recent years, although momentum is easing. Contractor confidence is easing from a very high level in recent months. Even so, robust GDP growth should support construction this year and next.

For the **Netherlands**, we expect construction output to stabilise in 2026 after a weak first half, followed by modest growth in 2027.

Housing construction should gradually recover as the recent rise in building permits feeds through into starts and completions, although projects are often delayed and the recovery will remain limited. Infrastructure remains an important driver.

Poland's construction sector had a volatile start to 2026, with output falling by 6.8% in the first quarter due to the cold winter before rebounding by 8% in the second. Building permits are rising slightly, confidence remains stable and robust GDP growth of 3.4% should support demand. The resumption of EU funding is also expected to support infrastructure investment. Nevertheless, we expect construction output to remain flat in 2026, largely because o

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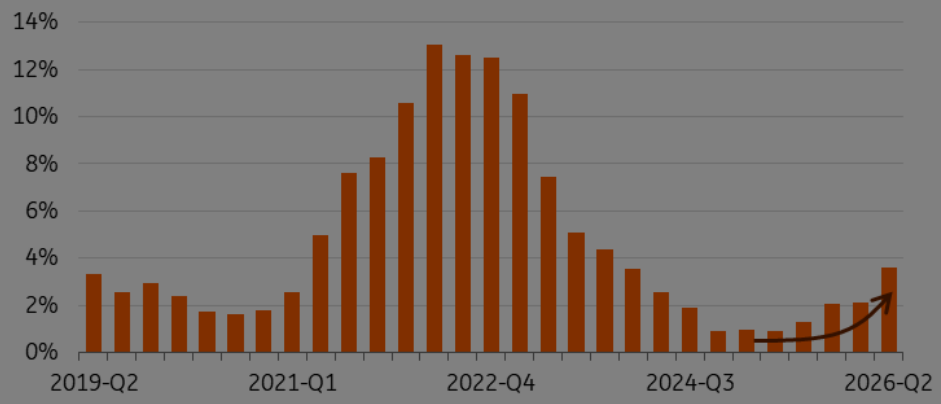
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countries without them, such as Spain, face greater exposure. Private contracts offer even less protection, increasing the risk of disputes, delays and halted projects.

Building costs higher but increases remain benign

Development building prices EU-27, new residential buildings, quarterly yoy



Source: Eurostat, ING Research

Low water levels are delaying deliveries

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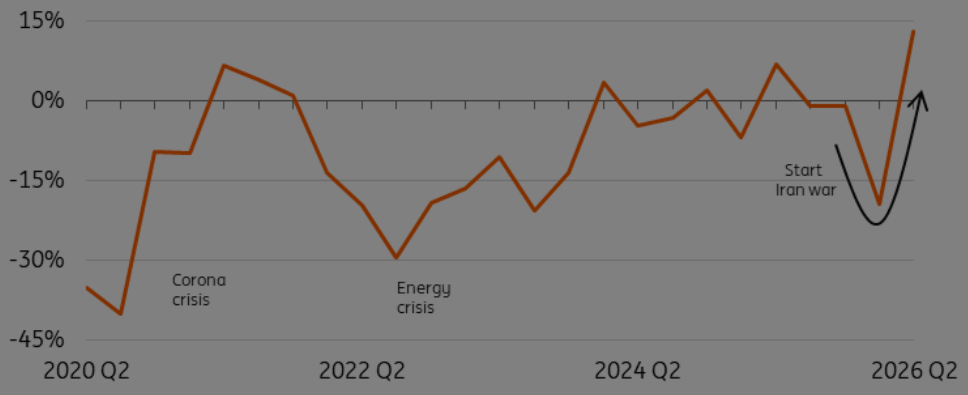
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during the 2022 energy crisis. Confidence recovered, and second-quarter profit expectations exceeded pre-war levels. This rebound may prove excessive, as energy prices have since begun rising again.

Profit expectations are up again

Expectations profit margins European constructors, Balance of companies that expect an increase-/-decrease of the profit margin in 12-months



Source: RICS, ING Research

Residential growth stalls

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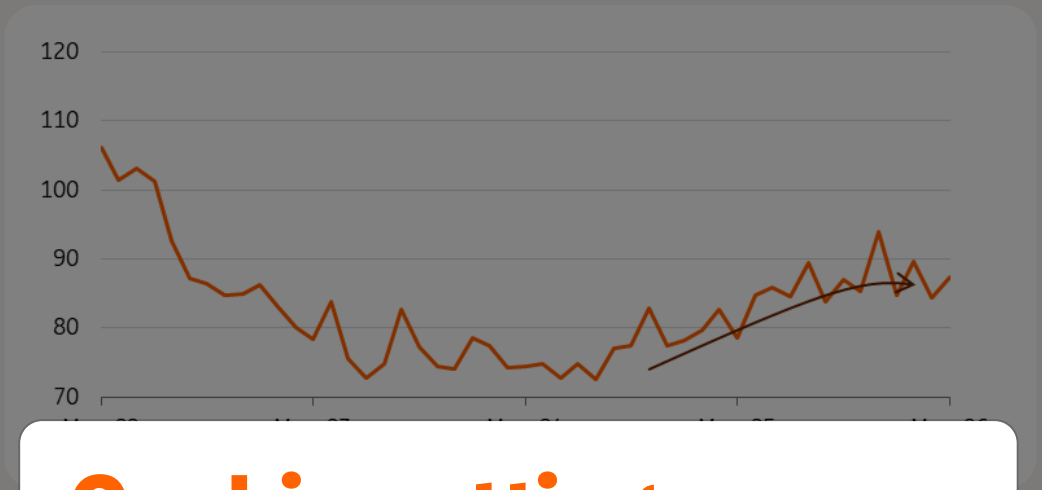
construction costs has so far remained modest.

One possible offset is that buyers may prefer new homes because they are generally more energy-efficient than existing properties. However, the stabilisation in permit issuance suggests that this advantage is not strong enough to drive further growth.

The number of permits issued for new houses is an important indicator of future volumes in the residential sector. Typically, it takes between one and two years from the granting of a permit to the completion of a new home.

Recovery of issued building permits slows

EU Building permits new dwellings, SA (index 2021=100



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Dutch permits for new homes surged in the second quarter of 2026. Statistics Netherlands has since paused publication of recent data, saying the increase appears implausibly large and may reflect legislative changes related to grid congestion. Limited grid capacity continues to delay new connections and construction projects, while nitrogen restrictions cause further setbacks. The government's plan to reduce nitrogen emissions of peak polluters and make way for other business activities is now under parliamentary review.

Spanish housing permits nearly tripled between 2020 and 2024, largely reflecting a rebound from the exceptionally low pre-

pandemic era base and a recovery in housing demand. Growth now appears to have peaked, with permits falling by almost 2% in the second quarter of 2026. The government's PERTE programme, co-financed through European recovery funds, aims to speed up and reduce the cost of housing construction through prefabrication and modular methods, but its impact will take time.

Business case still difficult

Housing shortages remain severe in many European cities, but new housing projects are more difficult to make commercially viable in some countries than in others. Although permit issuance has increased in many markets, construction costs remain high.

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House price developments 2026 Q2 compared to 2023 Q2

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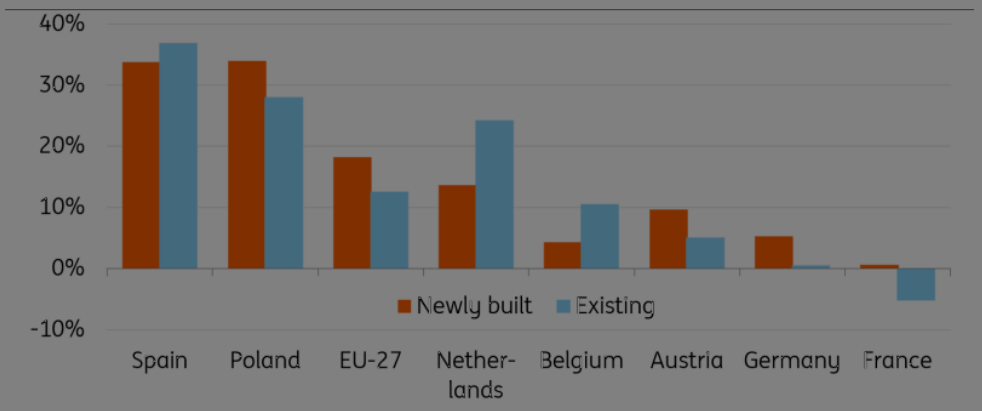
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Source: Eurostat, ING Research

Infrastructure growth continues

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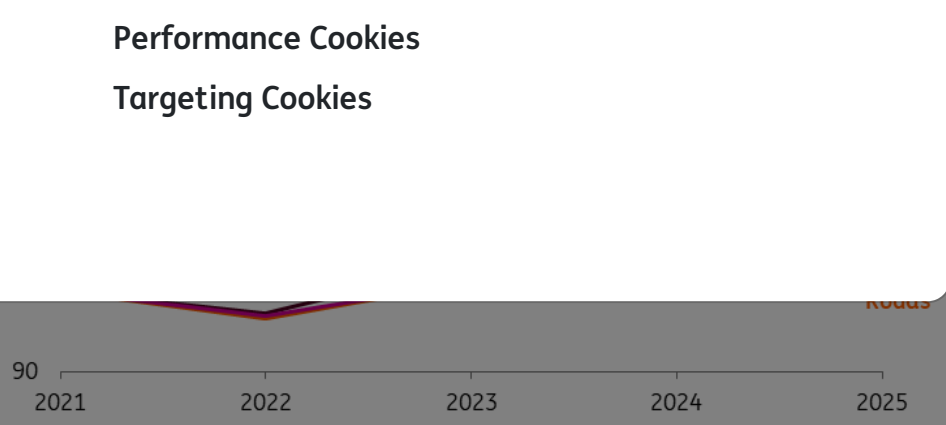
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Source: Euroconstruct, ING Research

The EU **energy construction sector** has been growing since 2022, driven by investments in renewable energy and electricity grid expansion. Growth is expected to remain strong as many countries in the EU continue to upgrade power infrastructure to support the energy transition and rising electricity demand.

Railway construction is showing strong growth. Across the EU, activity is being supported by both network renewals and major cross-border projects. Examples include Rail Baltica, which will connect the Baltic States with Poland, the Lyon–Turin rail link between France and Italy and high-speed rail investment in Spain, Portugal and Italy. Together, these projects illustrate the EU's drive to expand rail capacity.

Telecommunications construction has grown modestly in recent years, supported by fibre-optic expansion and continued investment in 5G networks across the EU. Although coverage is improving, progress varies widely between member states and

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